RHI Magnesita India Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: RHIM · Report prepared 20 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's earnings-call transcripts and filings.

1 Snapshot

RHI Magnesita India makes **refractories** — the bricks, mixes and nozzles that line the inside of a furnace and survive 1,500 °C+ without melting. Every tonne of steel and every tonne of cement made in India eats a small amount of refractory lining, which then has to be replaced. So this is a consumables business bolted onto steel and cement volumes. It is the Indian arm of Austria-listed RHI Magnesita, which owns 56.07% of it. Refractory is only ~2.5–3% of a steelmaker's cost, which is why the company can sell "solutions" rather than commodity bricks — when it manages to.

Number	Value	What it means in plain words
Market cap / price	₹7,743 cr / ₹375	Down from a ₹510 high. The market has already marked this business down.
Sales FY26	₹3,357 cr (₹4,000 cr consolidated)	Up 69% in four years from ₹1,991 cr. Almost all of it bought, not grown.
Operating margin (OPM) FY26	10% (was 19% in FY22)	OPM = operating profit ÷ sales, i.e. what is left after making and selling the goods. It has halved.
Operating profit FY26	₹345 cr (was ₹384 cr in FY22)	The blunt fact: sales up 69%, operating profit **lower** than four years ago.
Net profit FY26	**MINUS ₹468 cr**	A loss in a record-revenue year, because of a goodwill write-down (Section 4). Third loss year in five.
Q1 FY27 (latest quarter)	Sales ₹863 cr, OPM 14%, PAT ₹78 cr	Best quarter in two years. Management's consolidated version: ₹1,014 cr, 14.5% margin, PAT ₹65 cr.
ROCE	6.87%	ROCE = return on capital employed, the pre-tax profit earned on all money invested in the business. At 6.87% the capital is earning less than a bank fixed deposit. It was 37% in FY22.
Borrowings / cash	₹98 cr / ₹452 cr	Net cash. The balance sheet is genuinely clean — the ₹1,100 cr acquisition debt was repaid via a share sale (QIP).
Cumulative write-downs on the 2023 acquisitions	**~₹1,640 cr**	Charged to the profit statement across FY23, FY24 and FY26 against an accounting deal value of ₹2,852 cr. More than half the price has been erased.

Note on two sets of numbers: the Screener figures above are standalone (parent company only); management quotes consolidated figures (parent plus the Dalmia subsidiary). Both are real; the gap is roughly the Dalmia entity. FY26: ₹3,357 cr standalone vs ₹4,000 cr consolidated.

2 Concall coverage

Quarter	Call date	Transcript read?	Note
Q1 FY27	12 Aug 2026	**Yes — in full**	Latest. Leadership handover; 14.5% margin; MINPRO JV.
Q4 + FY FY26	30 May 2026	Yes — in full	The goodwill impairment call.
Q3 FY26	16 Feb 2026	Yes	Margin 13.7%; "14–15% is our wishful thinking".
Q2 FY26	12 Nov 2025	Yes	Shareholder confronts management on pre-Dalmia profit.

Q1 FY26	11 Aug 2025	Yes	"I don't foresee [further impairment] at the moment."
Q4 FY25 / Q3 FY25 / Q2 FY25 / Q1 FY25	28 May 2025 / 12 Feb 2025 / 8 Nov 2024 / 14 Aug 2024	Yes (all four)	The "15% sustainable margin" guidance years.
Q4 FY24 / Q3 FY24 / Q2 FY24 / Q1 FY24	29 May 2024 / 14 Feb 2024 / 9 Nov 2023 / 11 Aug 2023	Yes (all four)	Second write-down (₹326 cr) called "a one-timer".
Q4 FY23 / Q3 FY23	31 May 2023 / 13 Feb 2023	Yes (both)	The acquisition maths and the original promises.

Screener lists 19 calls for this company; **15 transcripts were available and all 15 were read**. The four missing ones pre-date Q3 FY23, i.e. before the Dalmia acquisition, and are not material to this question. Q1 FY27 was read line by line.

Latest concall highlights — Q1 FY27 (call 12 Aug 2026)

- **The best quarter since FY24, and management said so.** Consolidated revenue ₹1,014 cr (+6% year-on-year), EBITDA ₹147 cr, **margin 14.5% versus 10.8% a year ago**, profit after tax up from ₹35 cr to ₹65 cr. *EBITDA = earnings before interest, tax, depreciation and amortisation — cash operating profit before financing and accounting charges.*
- **But the CFO immediately capped it.** Asked if 14.5% is sustainable, Azim Syed: *"we have given a guidance of **13%**. We still remain firm with that guidance."* And on where the price increase came from: *"most of the price increases were nothing but a **war surcharge**"* — a temporary pass-through of Middle East conflict costs, not a structural gain.
- **Growth came from the old company, not the acquired one.** Parmod Sagar, unprompted: *"Dalmia is mostly flat and the growth has come from RHIM India... the growth has come from IN whereas IR remains flat."*
- **Leadership handover.** Pankaj Malhan takes over as MD & CEO; Parmod Sagar, who ran the company through the acquisition and its write-downs, moves to Chairman. The auditors also resigned mid-year, explained as alignment with a group-level auditor rotation.
- **Two real cost levers opening.** Captive quartzite mines (Chiraipani, Bhikampali) — licences received, opening end of Q2 FY27; previously *"we were buying from the market at almost double the price of our mining cost."* Asked whether that means volume or margin, Sagar chose margin: *"Second option. Margin will improve."* Plus a new 51:49 JV with Khemka Refractories (MINPRO) for a greenfield mineral-processing plant in Odisha — ₹35 cr over two years, 8–10% EBITDA, payback under three years, start Q4 FY27.
- **Capex is running far behind guidance.** Only ₹8 cr spent in Q1 against ₹150 cr guided for FY27. Sagar did not defend the ₹150 cr — he re-anchored to *"₹80 crores to ₹100 crores capex every year."* Volume guidance was also walked back: an analyst said 9%, Sagar replied *"I don't think I have ever committed 9%... I still believe we can deliver 7%-8%... but not 9%."*

2c Business mix & capacity

End markets (Q2 FY26 disclosure, the most specific given): steel including flow control ~**80%** of revenue; cement ~**14%** (down from 13% to 11% of full-year revenue between FY25 and FY26 as the company walked away from price-cutting cement work); the rest is one-off project orders. **Flow control** — the nozzles and slide gates that control molten metal pouring — is 25–28% of revenue and the highest-margin line.
Domestic vs export: exports are only **9–11%** and shrinking (Q1 FY27: "it's actually reducing at the moment"). Before the acquisition, standalone exports were **22–23%**. Management's stated ambition in 2023 was 22–25%. Current framing: *"Local, for local."* This matters because failed export assumptions are the stated reason for the write-downs.
Capacity: ~**525,000 tonnes** a year after the acquisitions (from 145,000 before). FY26 shipments 523 kt, +5%. **Utilisation:** 62% (FY24) → 66–67% (FY25) → 64% (Q3 FY26). Two-thirds full, and management has said it will do **no capacity expansion** until utilisation rises. Plain read: there is plenty of idle plant, so growth needs no big capex — but idle plant also means fixed costs are spread thin, which is part of why margins are where they are.
Not disclosed: Q1 FY27 utilisation was not given. Segment-level profitability is refused outright ("competitive sensitive"). Margin split

between the Dalmia plants and the original plants is refused. Savings from the mines and the MINPRO JV are **not quantified** — asked twice, management said the costing work is still in progress.

3 Earning-trigger thesis

Is there a durable earning trigger?

Yes, but be clear about what kind. This is **not** a growth trigger — volumes will grow at steel-and-cement plus 1–2%, which is 7–8%, and the company is adding no capacity. It is a **margin-repair trigger**: getting operating margin off the 9–10% floor of FY26 back toward the 13% the company itself now guides. Three of the levers are real and mechanical rather than promotional — captive quartzite mines replacing raw material bought at "almost double" the mining cost, a large multi-year coke-oven order that absorbs fixed cost in half-empty plants, and a shift of the sales mix toward flow control and 4PRO service contracts. The evidence is already partly on the tape: 13.7% in Q3 FY26, 14.5% in Q1 FY27. The catch is that the CFO attributes much of that to a reversible "war surcharge" and refuses to raise guidance above 13%. So the honest size of the prize is roughly **3 percentage points of margin, or about ₹100 cr of operating profit** — recovering ground already lost, not breaking new ground.

Trigger	What management said	Evidence so far	Time horizon	Strength
Captive quartzite mines	Licences received; mines open end of Q2 FY27; earlier "buying from the market at almost double the price of our mining cost". Asked volume or margin: "Margin will improve."	Mines came with the Dalmia deal and took three years plus legal costs to get licensed. Benefit "should start coming from next quarter". No rupee number given despite two requests.	Q3 FY27 onward	**Medium**
Coke oven / iron-making order book	30,000+ tonne order from a large integrated steel player; "strong order book for the next 18 months"; "4 or 5 more coke ovens" after. Production starts next month.	Real and specific. But Q1 FY27 had **zero** project revenue — so this is entirely still ahead, and the glass and silica projects have already slipped to H2.	H2 FY27 to FY28	**Strong**
Price rises + richer mix (flow control)	"Firm on 13%" for FY27; flow-control market share in one large group "gone up almost double in the last 6 months".	Delivered: 14.5% in Q1. But the CFO called the price rises "nothing but a war surcharge", and magnesite input prices have already risen 6–8% in two months.	Now, but reversible	**Medium**
4PRO solution contracts	Move from selling bricks to selling automation, robotics and supply-chain management; longer contracts, higher value, better cost pass-through. Five-year JSW robotics contract signed.	Three contracts signed; start-up costs hit before revenue. Margin contribution is refused as "competitive sensitive", so it cannot be verified from outside.	3–5 years	**Medium**
MINPRO JV with Khemka	51:49 greenfield mineral processing in Odisha; ₹35 cr over two years; 8–10% EBITDA; payback under 3 years; commissioning Q4 FY27.	Credibly sized and dated — and far too small to matter. ₹35 cr and 8–10% margins against a ₹4,000 cr revenue base is a rounding error.	FY28+	**Weak**
Dalmia turnaround	Originally: margins from 4% to 10–12% and beyond, ₹45–50 cr of synergies, exports to 22–25%.	FY26 Dalmia revenue ₹1,153 cr (+14%) but margin **fell** to 10.8% from 11.5%. Q1 FY27: "Dalmia is mostly flat." The goodwill is now zero.	Indefinite	**Weak**

4 Management consistency scorecard

Period	Promised	What happened	Verdict
Jan–May 2023 The Dalmia deal	Acquired the Indian refractory business of Dalmia Bharat Refractories (Dalmia OCL) by share swap on 5 Jan 2023, plus the Hi-Tech Chemicals flow-control business (Jamshedpur) by slump sale on 31 Jan 2023. Agreed value ~₹2,200 cr; accounting enterprise value **₹2,852 cr**; goodwill created **₹1,208 cr** (₹841 cr Dalmia + ₹367 cr Hi-Tech). Promised: Dalmia margin from ~4% to **10–12% "next year"** and higher after; **₹45–50 cr** of synergies; capacity to 525 kt; market share to 30%; exports to 22–25%.	Capacity and market share: **delivered** (share now 42–43%). Everything that produces profit: **not delivered.** Dalmia margin reached 10.8% in FY26 and then went *backwards* from 11.5% in FY25. Exports fell to 9–11% and are still falling. Group OPM went 19% → 10%. Operating profit is **lower in absolute rupees** than before the deal. ROCE fell 37% → 6.87%. And the entire goodwill has now been written off.	NO — the deal was oversold
Mar 2023 → Mar 2026 Three write-downs	FY23: ~₹652 cr charge, explained as "one-off non-cash transaction, one-time accounting adjustment" from the share-issue price (₹632) being below market price (₹877). FY24: a further **₹326 cr** off Dalmia goodwill, because embedded export assumptions failed. Parmod Sagar, May 2024: *"It cannot be continuous. It is a one-timer."* Aug 2025, on further write-offs: *"I don't foresee it at the moment."*	March 2026 quarter: a third charge of **~₹663 cr** (reported loss ₹624 cr against ₹39 cr profit before exceptional items). Reasons given — weak exports, currency, competitor capacity — are **the same three reasons given for the FY24 write-down**. Cumulative charge ~**₹1,640 cr**, over half the accounting deal value. Q1 FY27: "all the goodwill of Dalmia is already off our balance sheet now."	NO — "one-timer" three times
Nov 2024 → Aug 2026 Margin guidance	Nov 2024: *"we should be delivering around 15% margins on sustainable basis... 15% definitely. We are not changing our guidance."* Feb 2025: "FY26 we should go back to the market guideline... 15%." May 2025: "14%-15%". Feb 2026: "14%-15%. This is our wishful thinking."	FY26 came in at **11.9%** adjusted consolidated (10% standalone). Guidance was then quietly cut: Nov 2025 "13–14%", May 2026 "13% for next year", Aug 2026 *"we have given a guidance of 13%. We still remain firm."* The number the company is now "firm" about is **two points below** what it was "not changing" two years ago.	NO — guidance walked down 15% → 13%
Aug 2025 Volume	*"We expect 8% to 9% volume growth"* for FY26.	FY26 shipments +5% (523 kt) against a market Sagar himself put at 6% — below the market, and well below guidance. In Aug 2026 he pushed back on the 9% number: *"I don't think I have ever committed 9%."*	NO
May 2026 Capex	FY27 capex **₹150 cr**, of which ₹40–50 cr maintenance, rest Dalmia modernisation and 4PRO robotics. (FY26: ₹135 cr earmarked, ~₹100 cr spent.)	Q1 FY27 spend: **₹8 cr.** Asked whether to revise, Sagar did not reaffirm ₹150 cr — he restated a different, lower long-run figure: *"whatever we said, ₹80 crores to ₹100 crores capex every year, we are maintaining still the same statement."*	DRIFTING
May 2026 FY27 margin recovery	"Our margins will be significantly better than what we have achieved in Q4" (12.1%), with price increases and coke-oven fixed-cost absorption; growth of market plus 1–2%.	Q1 FY27 delivered **14.5%** and profit after tax nearly doubled. This one they called correctly, one quarter out. Credit where due.	YES

Narrative drift. The story has been rewritten three times, and each version is smaller than the last. Version one (2023): a transformational acquisition that doubles the footprint, lifts Dalmia from 4% to double-digit margins, and pushes exports to a quarter of sales. Version two (2024–25): the acquisition is fine, exports were the only bad assumption, 15% margin is still the destination, the write-downs are accounting noise. Version three (2026): the goodwill is gone, "Dalmia is mostly flat", exports are "local for local" instead, 13% is the margin, and the new hope is two quartzite mines and a ₹35 cr joint venture. Note the pattern in the disclosure too: the plant-by-plant utilisation and Dalmia margin numbers that were volunteered in 2023–24 are now refused as "competitive sensitive", and the goodwill impairment is reframed as a positive — *"non-cash... no impact on our profitability. It is below EBITDA line."* That is true as arithmetic and false as economics: ₹2,852 cr of shareholders' money went out, and ₹1,640 cr of it has now been formally declared not to be worth what was paid. The most telling exchange in three years of transcripts came from a long-term shareholder in Nov 2025 — pre-Dalmia the company earned ~₹100 cr of pre-tax profit a quarter on ₹750–800 cr of revenue; it now earns about half that on far more revenue and far more equity. Sagar's answer: *"I tend to agree with you."*

5 Bottom line

Earning trigger: QUALIFIED YES — a margin-repair trigger, not a growth trigger.

There is something real here, and it is finally showing up in the numbers: 9% margin in the March 2026 quarter became 14.5% in the June 2026 quarter, profit after tax nearly doubled, and the balance sheet is net cash with ₹452 cr in hand and almost no debt. The two mechanical levers — captive quartzite mines replacing raw material bought at roughly double the mining cost, and a 30,000 tonne-plus coke-oven order that fills half-empty plants for 18 months — are specific, dated and do not depend on the refractory price cycle. Idle capacity means this can be earned without spending money. But size it honestly. Management's own ceiling is 13% margin, its own volume number is 7–8%, its own CFO says much of the Q1 price gain was a temporary war surcharge, magnesite input costs are already up 6–8% in two months, and competitors are still commissioning new capacity into a market management describes as over-supplied and commoditising. The prize is roughly three margin points and about ₹100 cr of operating profit — which merely returns the company to where it was in FY22 on 69% more revenue. Buying that recovery at 37 times earnings and 2.2 times book, with ROCE at 6.87%, requires the trigger to work and then some.

Management consistency: NO. This is a management that has been wrong in the same direction for three years.

The scorecard is not close. A ₹2,852 cr acquisition has been written down by about ₹1,640 cr in three separate charges, each of the first two described as a one-off — and the third one arrived twelve months after the CFO said *"I don't foresee it at the moment"* and gave the same reasons as the previous one. The 15% margin that was "definitely" not changing in Nov 2024 is now firmly 13%. Export share was to reach 22–25%; it is 9–11% and falling, and the ambition has been retired as "local, for local". Volume guidance of 8–9% delivered 5%, below the market, and the guidance itself was then disowned on the next call. Capex of ₹150 cr became ₹8 cr in a quarter and a verbal reset to ₹80–100 cr. This is not fraud and it is not stupidity — the industry genuinely turned, Chinese and domestic overcapacity is real, and two wars did move raw material and freight costs. It is something more ordinary and more expensive for shareholders: a management team that consistently prices in the good case, sells it hard, and then re-explains it. The one honest credit is that the May 2026 promise of a better Q1 was kept, and the disclosure quality on the Q1 FY27 call — volunteering that Dalmia is flat, admitting the price rise was a surcharge, correcting the analyst's 9% down to 7–8% — is noticeably straighter than it has been. Whether that is Pankaj Malhan's arrival or the fact that there is no goodwill left to defend, the next four quarters will show. Until then, take the guidance at a discount and watch the mines, not the adjectives.